NOTE 9: INCOME TAXES

Our operations are included in the consolidated federal income tax return of FedEx. Our income tax provision approximates the amount which would have been recorded on a separate return basis. The components of the provision for income taxes for the years ended May 31 were as follows (in millions):

	2006	2005	2004
Current provision			
Domestic:			
Federal	$ 374	$ 336	$ 146
State and local	29	24	24
Foreign	126	98	82
	529	458	252
Deferred provision (benefit)			
Domestic:			
Federal	103	30	(61)
State and local	17	(6)	(10)
Foreign	(1)	—	—
	119	24	(71)
	$ 648	$ 482	$ 181

A reconciliation of the statutory federal income tax rate to the effective income tax rate for the years ended May 31 was as follows:

	2006	2005	2004
Statutory U.S. income tax rate	35.0%	35.0%	35.0%
Increase resulting from:			
State and local income taxes, net of federal benefit	1.7	0.9	1.7
Foreign operations	(0.3)	—	(2.0)
Other, net	1.0	1.0	(1.2)
Effective tax rate	37.4%	36.9%	33.5%

The 36.9% effective tax rate in 2005 was favorably impacted by a lower effective state tax rate. The lower 33.5% effective rate in 2004 was primarily attributable to the favorable decision in the tax case discussed below, stronger than anticipated international results and the results of tax audits in 2004.

In 2004, we received a favorable ruling regarding the tax treatment of jet engine maintenance costs, which was affirmed by the appellate court in February of 2005, and became final in May of 2005, when the period for appeal lapsed. As a result we recognized a one-time benefit of $26 million, net of tax, in 2004. These adjustments affected both net interest expense ($30 million pretax) and income tax expense ($7 million).

The significant components of deferred tax assets and liabilities as of May 31 were as follows (in millions):

	2006		2005	
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets	Deferred Tax Liabilities
Property, equipment, leases and intangibles	$ 305	$ 997	$ 287	$ 943
Employee benefits	351	39	338	39
Self-insurance accruals	276	—	260	—
Other	254	384	231	243
Net operating loss/credit carryforwards	22	—	20	—
Valuation allowance	(22)	—	(20)	—
	$ 1,186	$ 1,420	$ 1,116	$ 1,225

The net deferred tax liabilities as of May 31 have been classified in the balance sheets as follows (in millions):

	2006	2005
Current deferred tax asset	$ 422	$ 403
Non-current deferred tax liability	(656)	(512)
	$ (234)	$ (109)

The valuation allowance represents amounts reserved for net operating loss and tax credit carryforwards, which expire over varying periods starting in 2007. As a result of this and other factors, we believe that substantially all of these deferred assets may not be realized.